

4

WHAT IMPACT DOES OWNING A BUSINESS HAVE ON YOUR PERSONAL FINANCE?

Business owners have to keep up with the business needs as well as personal finance needs. Also, at times they use their business as an excuse to not carefully plan their finances.

Business owners have different financial requirements. First, most financial models assume constant cash inflow throughout the year. This suits the salaried people but for most businessmen, this is not the case. In businesses, some years are better than others. Also, different businesses are at different stages, and accordingly, they play an instrumental role in shaping our financial profile. Hence, personal financial needs should be balanced with business financial needs.

We will evaluate our business on a few parameters to understand whether the business produces cash or consumes cash. This will have significant consequences on our cash flow.

EXCUSES

- Business was not good this year
- Earnings re-invested into the business
- No need for personal finance plan as business will fund us when required.

